SK HYNIX INC.

KRX: 000660 (ADS: Nasdaq SKHY) | DRAM including HBM, and NAND flash | Icheon, Korea

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

LONG	**Target price:** KRW 2,000,000	**Last price:** KRW 1,472,000 (KRX close, 2 November 2026)	**Upside:** +36%

SK Hynix is sold as an HBM company. Nine tenths of its revenue is ordinary memory, and the price already assumes the worst.

SK Hynix leads the world in HBM, the memory stacked beside AI chips. On 31 October I argued that from HBM4E the biggest buyer designs the bottom of that memory stack. But HBM is now a small slice of SK Hynix's money: on my estimates about 11% of 2026 revenue, against about 30% in 2025, because ordinary memory prices have soared while HBM was priced a year ahead.

At KRW 1,472,000 the shares trade at 2.8 times 2027 consensus earnings. On my method the price needs normal earnings worth a 12.4% net margin once the cash is counted, about half SK Hynix's ten-year 23.5%. Only if the cash is spent and earns nothing does the price look fair: then it needs 27.4%, close to my base of 30%.

My call: LONG, medium conviction, target KRW 2,000,000. My base value is KRW 2,033,000, up 38%. The bear case is KRW 1,004,000 (down 32%) and the bull case KRW 3,484,000 (up 137%). The margin of safety is the cash, so the call rests on SK Hynix returning it.

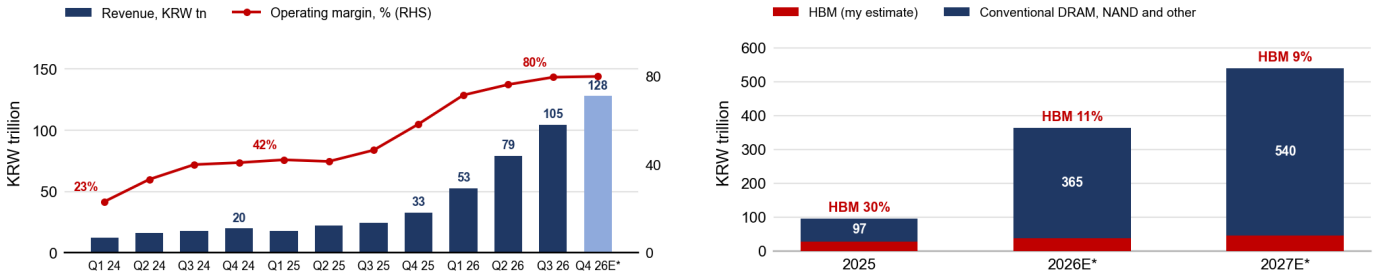
Stock data
LAST PRICE **KRW 1,472,000, KRX close 2 November 2026; 52-week range KRW 501,000 to 2,987,000 (intraday, regular session)**
MARKET VALUE **About KRW 1,038tn on 705.2m shares; US$774bn at KRW 1,341 per US$ (2 Nov)**
NET CASH, 30 SEP 2026 **KRW 98.7tn; KRW 89.7tn after October share purchases, KRW 127,159 a share**
P/E **4.1x my 2026; 2.8x 2027 consensus; 3.2x my 2027**
CONSENSUS (STOCKANALYSIS.COM) **EPS KRW 358,672 2026, KRW 527,160 2027; average target KRW 3,157,409**
Q3 2026 (28 OCT) **Revenue KRW 104.6tn; operating margin 80%; Q4 DRAM bits guided up mid 20s %**
HBM **Not disclosed; my estimate about 11% of 2026 revenue, against about 30% in 2025**
NEXT RESULTS **Q4 2026, expected late January 2027 (not yet confirmed by SK hynix)**

Key financials (KRW trillion unless stated; calendar years)

KRW trillion unless stated	2024A	2025A	2026E*	2027E*	2028E*	Normal year*
Revenue	66.2	97.1	364.5	540.0	486.0	215.7
Revenue growth (%)	102	47	275	48	-10	
HBM (my estimate)		28.8	39.3	46.3		
HBM share of revenue (%)		30	11	9		
Operating profit	23.5	47.2	283.9	410.4	330.5	
Operating margin (%)	35.5%	48.6%	77.9%	76.0%	68.0%	
Net margin (%)	29.9%	44.2%	69.6%	59.3%	53.0%	30.0%
EPS (KRW)	28,419	60,378	359,567	453,948	365,548	91,784
Consensus EPS (KRW)			358,672	527,160		
P/E at KRW 1,472,000 (x)	52	24.4	4.1	3.2	4.0	16.0

**2026E is reported profit for the first nine months (including finance items such as Kioxia gains) plus my fourth quarter; 2027E, 2028E and the normal year are my own estimates on operations only, taxed at 22%. EPS for my years is on the 705.2m shares entitled to the third quarter dividend. HBM revenue is not disclosed; the HBM lines are mine. History from SK hynix's prospectus of 10 July 2026 and results releases; consensus from stockanalysis.com (S&P Global), retrieved 2 November 2026.*

Two charts: a boom in ordinary memory, and HBM a shrinking share of it



Left: revenue by quarter and operating margin, from SK hynix's results releases; Q4 2026 is my estimate. Right: my estimate of HBM revenue against the rest. Industry HBM of about US$35bn in 2025 growing about 40% a year (Micron, 17 December 2025, as in my Micron note), SK Hynix's share 58, 55 and 50% (IDC: 56.4% in Q1 2026, quoted in the prospectus), at my average exchange rates.

The thesis: the supplier now earns most of its money on flour

Go back to the kitchen from the October piece. The chef is the AI chip and the hatch is the memory feeding it. SK Hynix stocks the pantry, and it built the best hatch in the business. This year the pantry's ordinary goods, the flour and the oil, have become the scarce part. Their price has soared, while the hatch was sold a year ahead at last year's price.

The pantry is full. Third quarter revenue was KRW 104.6tn, up 328% on a year earlier, and operating profit KRW 83.3tn, an 80% margin against 47%. DRAM bits rose about 10% on the quarter and DRAM prices by a high twenties percentage; NAND prices rose by a mid twenties percentage. SK Hynix guides fourth quarter DRAM bits up by a mid twenties percentage. First quarter DRAM revenue was 2.9 times a year earlier, and Gartner, quoted in the prospectus, forecast conventional DRAM prices to roughly triple year on year by the second quarter.

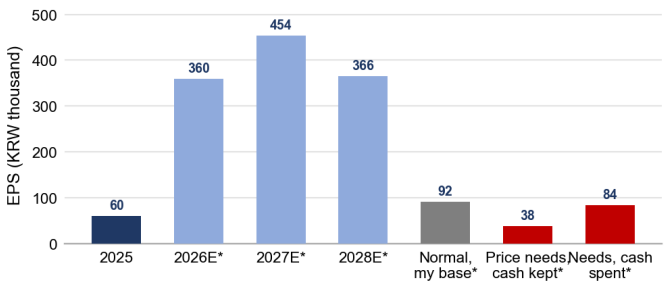
HBM is now a small slice. SK Hynix's last HBM figure I could find is for the fourth quarter of 2024, when HBM was more than 40% of DRAM revenue; HBM revenue more than doubled in 2025. On my estimate HBM was about KRW 28.8tn in 2025, 30% of revenue, and is about KRW 39tn of my KRW 364.5tn in 2026, 11%. Two primary figures point the same way: the largest customer took 23.9% of 2025 revenue, while in the first quarter of 2026 the two largest took 14.8% and 12.4%; sales booked in China rose from 19.7% to 24.3% of revenue. Micron says its 2027 HBM prices narrow "the gross margin gap with conventional DRAM", so HBM earns the lower margin today. At my 60% HBM margin it is about 8% of 2026 operating profit.

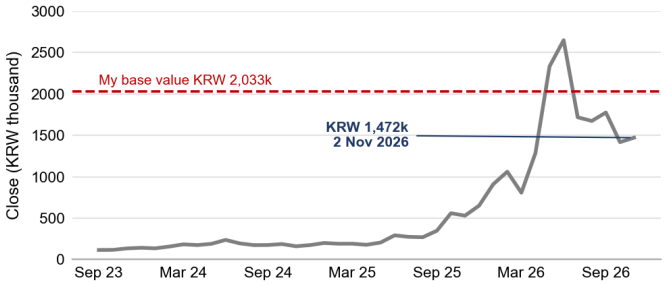
Custom HBM decides how durable that slice is. On 28 October SK Hynix's head of HBM sales said "we are seeing growing importance of custom HBM", and SK Hynix runs joint projects with major customers. The piece did not cite the July prospectus, which defines custom HBM as integrating "certain functions of GPUs and ASICs into the HBM base die" and lists custom base die integration in its HBM4E work. None of it gives a date for volume, so the piece's claim stays open. A base die drawn by the buyer ties each stack to one chip, which protects the leader's tenth; but Nvidia says NVHBM will be "available from multiple memory providers", so pricing power moves to the buyer, as the piece argued.

Moat or capex trap. Custom is a moat for the tenth. For the other nine tenths the risk is the old one: too many fabs. The prospectus says SK Hynix is "targeting to double our wafer production capacity within the next five years" and expects to invest about KRW 600tn at Yongin, the fourth fab's first cleanroom due by 2033. 2027 capital spending will "increase significantly". Against that, long-term agreements with 14 customers cover more than half of 2027 and 2028 capacity, generally for five years, priced within agreed ranges with safeguards such as deposits.

Variant perception: what the market prices in, and where I differ

At KRW 1,472,000 SK Hynix is worth about KRW 1,038tn on 705.2m shares (730.5m issued less 25.3m in treasury, matching the third quarter dividend of KRW 14.10tn at KRW 20,000 a share). It trades at 2.8 times 2027 consensus, against 3.0 times for Samsung Electronics and 5.0 times for Micron's fiscal 2027, and is 50% below its June high. As in my Micron note, peak memory earnings are not a stream to capitalise: SK Hynix lost KRW 9.1tn in 2023, a year after record revenue, and earned 23.5% net over 2016 to 2025, with 38.4% at the 2018 peak.





Left: EPS, reported for 2025, my estimates for 2026 to 2028, my base normal year, and the normal year the price needs with the cash kept and with it spent. Right: month-end KRX close, September 2023 to the 2 November 2026 close (Yahoo Finance, checked against stockanalysis.com, retrieved 2 November 2026), against my base value.

What the price needs. I value the cycle with the method and normal cases of my Micron note: net cash at September 2027, plus earnings above normal still to come, plus 12 times normal earnings. I expect net cash of about KRW 338tn by then, KRW 479,000 a share, before dividends and cancellations. On that, the price needs normal EPS of only about KRW 38,000: a 12.4% net margin on my normal revenue, about half the ten-year margin.

Where I differ. The market does not believe the cash reaches holders. If it is spent and earns nothing, the price needs normal EPS of about KRW 83,900, a 27.4% margin, close to my base. So the price is roughly my base with the cash thrown away. I think that is too harsh: SK Hynix plans about KRW 100tn of shareholder returns for 2026, at least KRW 30tn in dividends and KRW 60tn in cancelled shares, says it intends to return at least half its free cash flow, and cancels 23.7m shares on 5 November. With only half the cash, my base is about KRW 1,790,000, up 22%. One sign of the gap: on 30 October the ADSs closed at US$149.21 for a tenth of a share, about 41% above Seoul at the day's rate; the prospectus warns withdrawn shares may not be deposited again.

Valuation, with the working

I value operations, because reported profit swings with finance items: KRW 22.9tn of investment valuation losses and KRW 11.6tn of foreign exchange losses in the third quarter alone. 2026 adds a fourth quarter of KRW 128tn at an 80% margin (consensus implies about 127). 2027 revenue is KRW 540tn, 6.3% below consensus, at a 76% margin and 22% tax: EPS KRW 453,900, 13.9% below consensus. 2028 revenue falls 10% at 68% as M15X and Yongin add supply. Free cash flow is about KRW 65tn in the fourth quarter and KRW 257tn in 2027 after KRW 75tn of capital spending; I deduct the October purchases and KRW 10tn of new purchases set aside for staff pay. Net cash adds KRW 479,300 a share; a quarter of 2027's excess, all of 2028's and half again in 2029, at 10%, add KRW 452,500; 12 times normal EPS of KRW 91,800 adds KRW 1,101,400. Total KRW 2,033,000. Normal revenue takes the four quarters to June 2026, nearest Micron's fiscal 2026, grows bits 20% a year for four years at 55% of the price per bit: KRW 215.7tn.

Scenarios: three cases, twelve months out

Case	What happens	2027 EPS, KRW	Normal EPS, KRW	Normal P/E	Value, KRW	Change	Weight
Bear	Prices turn in 2027; 2028 revenue falls 35%; normal margin 19%	356,200	42,300	10x	1,004,000	down 32%	25%
Base	Tight through 2028, half the excess in 2029; normal margin 30%	453,900	91,800	12x	2,033,000	up 38%	50%
Bull	2027 above consensus; shortage lasts to 2029; normal margin 40%	530,900	155,800	14x	3,484,000	up 137%	25%
Weighted	**25 / 50 / 25**				**about 2,139,000**	**up 45%**	

2027 revenue: bear KRW 460tn at 70%; base 540 at 76%; bull 600 at 80%. Normal revenue: bear KRW 157tn, base 216, bull 275. The normal cases are those of my Micron note. Unlike there, the bear also cuts 2027, because SK Hynix's year runs to December and its agreements set price ranges, not fixed prices. The band: long when my base value is at least 15% above the price, short when at least 25% below.

Sensitivity: normal net margin against the multiple on normal earnings

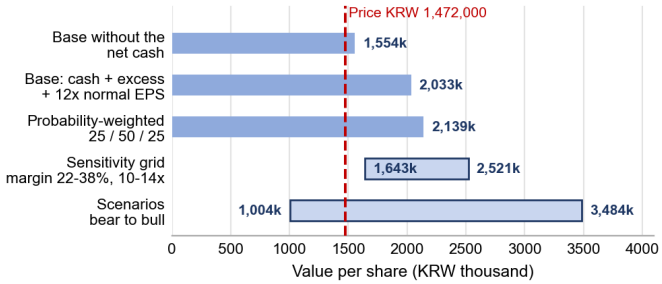
Normal net margin (value, KRW)	10x	12x	14x
22%	1,643,000	1,778,000	1,913,000
30%	1,850,000	**2,033,000**	2,217,000
38%	2,056,000	2,288,000	2,521,000

All nine cells sit above the price; the lowest, KRW 1,643,000, is 12% above. The grid holds the cash fixed. Take the cash away and the base falls to about KRW 1,554,000, up 6%, which is why the cash is the call. Every figure is live in the model.

Peer landscape and valuation cross-check

Company	P/E on consensus	Year
SK Hynix	2.8x	CY2027
Samsung Electronics	3.0x	CY2027
Micron	5.0x	FY to Aug 2027

Price over consensus EPS for the year ending in 2027, stockanalysis.com (S&P Global), retrieved 2 November 2026. Prices: Seoul closes of 2 November, Micron's Nasdaq close of 30 October. Micron's year ends in August. Multiples only; no view on the peers' shares.



Catalysts

When	Event	What I watch
5 November 2026	Cancellation of 23.7m shares (KRW 40.0tn)	Share count; the next quarterly buyback resolution
Late January 2027 (expected)	Q4 2026 results and the annual dividend	DRAM price and bits; the rest of the Kioxia special dividend; 2027 capex
Early 2027	First Yongin cleanroom opens	Pace of tool-in against the 'increase significantly' capex guide
March 2027	Nvidia GTC	Any NVHBM date or partner list naming SK Hynix
Through 2027	HBM4E qualification	First SK Hynix statement of custom HBM in volume

Risks: what would hurt the view

The cycle turns early. About nine tenths of revenue rides on ordinary DRAM and NAND prices that have soared in a year, and Micron says server makers already use a "modestly lower rate of content growth". If prices fall in 2027 my bear case applies, down 32%. **The capex trap.** Doubling wafer capacity in five years, with Samsung, Micron and Chinese makers seeing the same price signal, can consume the cash I count; then the price is about fair.

Custom HBM moves the edge to the buyer. My numbers already let SK Hynix's HBM share fall to half by 2027 as Samsung's HBM4 ramps; that costs the most durable tenth, not the bulk. **The won.** It moved from KRW 1,538 to the dollar on 2 July to KRW 1,341 now, which cuts dollar sales in won. **Leakage.** About KRW 10tn of the new KRW 20tn buyback goes to staff pay, on top of profit sharing of 10% of operating profit.

What would change my mind

Back to no call: a price above about KRW 1,768,000, where my base would sit less than 15% above it, with my numbers unchanged. **Towards the bull case:** SK Hynix confirming custom HBM in volume and agreements covering more than half of 2029 capacity.

The view is wrong if, by October 2027, SK Hynix reports a quarter in which total revenue and DRAM average selling price both fall on the quarter before, which points to my bear case; or it returns less than half of its free cash flow to shareholders for 2026 or 2027, which turns the cash I count into the capital spending the price already assumes.

Conclusion

My piece of 31 October argued that from HBM4E the biggest buyer designs the bottom of the memory stack. SK Hynix's own words since support the direction, and the claim stays open until a maker reports volume. The shares are a different question. HBM is about a tenth of revenue; the rest is an ordinary memory boom. At 2.8 times consensus the price assumes the boom ends badly and its cash is spent for nothing. Base value KRW 2,033,000, up 38%, range KRW 1,004,000 to KRW 3,484,000. My call: LONG, medium conviction, target KRW 2,000,000.

Appendix: forecast assumptions

Assumption	2026E	2027E	2028E	Basis
Revenue, KRW tn	364.5	540.0	486.0	Nine months reported plus Q4 of 128; 2027 6% below consensus; 2028 down 10%
Operating margin	77.9%	76.0%	68.0%	Q3 2026 80%
Tax rate		22%	22%	Q1 2026 21.8%; Q3 2026 about 21.6%
Capex, KRW tn	Q4 14	75		'Increase significantly' in 2027; 2025 27.5
Shares, m	705.2	705.2	705.2	Held; cancellations treated as cash returned
Normal margin, multiple, rate			30%, 12x, 10%	As in my Micron note; 2016 to 2025 23.5%

Full workings, with live formulas, in the accompanying model, 2026-11-02_SKHynix_Model.xlsx.

Sources

SK hynix preliminary results releases of 23 January 2025 (as reprinted), 28 January 2026, 23 April 2026, 29 July 2026 and 28 October 2026. Forms 6-K of 26 and 28 October 2026 (results, treasury shares, cancellation, dividend, shareholder return plan, new buyback). Third quarter 2026 earnings call, 28 October 2026. Prospectus (Form 424B4), 10 July 2026, for 2023 to 2025 and Q1 2026 financials, revenue by product, customers, regions, share count, ADS terms, the Yongin plan and custom HBM, with IDC and Gartner figures as quoted there. Annual results releases for 2016 to 2020; stockanalysis.com (S&P Global) for 2021 to 2025, consensus and peers, retrieved 2 November 2026. Micron call of 17 December 2025 and prepared remarks of 30 September 2026; Nvidia NVHBM blog, 26 August 2026. KRX closes via Yahoo Finance and stockanalysis.com, the Hana Bank KRW/USD notice rate via Naver Finance and ADS closes from Nasdaq.com, retrieved 2 November 2026. Estimates from the fourth quarter of 2026, HBM revenue, normal earnings and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 31 October 2026, thephysicallayer.fyi/journal/memory-not-maths; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in SK hynix. Personal research, not investment advice.

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